

Vendor Services Agreement

Dated: March 3, 2023 · Northwind Logistics Ltd ("Northwind") and Acme Freight Solutions ("Acme")

1. Term

This Agreement commences on March 3, 2023 and continues for a term of twenty-four (24) months unless terminated earlier in accordance with Section 4.

2. Fees

The total contract value is \$480,000, payable in equal monthly instalments over the term. Fuel surcharges are billed separately and capped at 8% of the monthly fee.

3. Payment Terms

Invoices are payable Net 30 from the invoice date. Late payments accrue interest at 1.5% per month on the outstanding balance.

4. Termination

Either party may terminate this Agreement for convenience by giving sixty (60) days written notice to the other party. Northwind may terminate immediately if Acme materially breaches the service levels in Section 5 for two consecutive months.

5. Service Levels

Acme guarantees on-time delivery of 97% of shipments in each calendar month. Shortfalls entitle Northwind to a service credit of 2% of that month's fee.

6. Limitation of Liability

Each party's total aggregate liability under this Agreement is capped at \$1,000,000, except for breach of confidentiality or gross negligence.